Writing examples

Client: HSBC

HSBC

Ensuring your wealth-being

Long-term, strategic wealth management can help to build a better, more sustainable future.

As we consider the 'new normal' and begin to adapt to life in a post-pandemic world, people and businesses have started to recalibrate their priorities.

Many investors are looking more closely at where their wealth is being deployed and are looking at ways to adjust their portfolio in favour of investments that reflect a more sustainable approach to society and the environment.

Issues around the environment, society and governance (ESG) had been growing in importance for high-net-worth individuals before Covid-19, but HSBC Private Bank has seen even stronger inflows into such solutions during the pandemic.

"This partly reflects the rising investor demand for more sustainable investment solutions that can help them to manage risk more effectively," says Fan Cheuk-wan, chief investment officer Asia for HSBC Private Bank. "But the pandemic has also prompted many investors to consider investment opportunities that can help the world move towards a rebuilding process that focuses on creating a better future."

Sustainable investment has commonly been identified as a long-term investment megatrend, but the massive global response to the pandemic has helped to change perceptions about how quickly governments and businesses can respond. As a result, portfolios and attitudes are changing to reflect expectations of a much more rapid shift.

In 2020, several major economies made explicit commitments to a net zero future and Fan predicts that 2021 will be a pivotal year for sustainable investment as the US rejoins the Paris climate change agreement and, China, the world's largest carbon-emitting country, highlights carbon neutrality and green initiatives as key elements of its recently announced 14th Five-Year Plan.

"A sustainable future is more attainable now that the world's two largest carbon-emitting countries are making solid commitments to fighting climate change alongside global partners," says Fan.

SOCIAL EQUITY

Sustainability is not just about the environment, and Fan notes that investors are increasingly interested in solutions that are also aligned with the UN's Sustainable Development Goals (SDG) and other social-oriented factors.

Besides doing good, SDG-aligned investments can generate stable, long-term returns across fixed income and credit asset classes as companies that are engaged in sustainable development projects also generate relatively resilient income and cash flow.

Fixed-income opportunities that meet sustainability criteria can be more challenging to source than for public equity, which means that credit issued to finance SDG objectives can be extremely attractive to investors, both to meet their ESG goals and to help build more balanced portfolios.

Companies that embrace and advocate issues around social equity are also increasingly valued by sustainability-focused investors after the events of 2020, when the pandemic focused attention on healthcare equality and, more recently, the uneven distribution of Covid-19 vaccines, while the Black Lives Matter movement brought worldwide attention to racial inequality.

"At HSBC, we truly believe that companies that adopt principles of diversity and inclusion, including within the management and leadership teams, also help to bring a more sustainable corporate strategy and business model," says Fan.

INVESTMENT SOLUTIONS

Family offices or high-net-worth individuals that adopt the proposition of sustainable investing follow a variety of approaches to embedding ESG into their portfolios.

Integration

One of the most common approaches is ESG integration, sometimes known as ESG-enhanced investment or ESG factors, which employs positive and negative screening to identify companies that do well in managing ESG risk and are positioned to perform well in the low-carbon transition.

One of the benefits of this approach is that it can be reflected in actively managed or discretionary solutions, long-only funds or even ETFs, across a multi-asset portfolio.

"Instead of going after individual, single securities, investors can position in a better-diversified investment vehicle to achieve their sustainable investment objectives," says Fan. "We have a very stringent product due diligence process to assess the ESG credentials of the underlying investment vehicles to help our clients mitigate greenwashing risk."

While some solutions may brand themselves as green, HSBC's due diligence process looks into the underlying strategies and the investment approach to determine whether such solutions truly ally with clients' investment objectives as stated in in their investment proposition.

Thematic

Thematic ETFs provide dedicated exposure to the structural growth factors exposed to green technologies and the disruptive trends that will drive the global low-carbon transition.

Fan says that ESG thematic fund solutions have seen strong inflows during the past six months, partly in response to positive announcements from China and the US. The Biden administration has already indicated plans to roll out massive investments in green infrastructure, focused on green technology, renewable energy and grid infrastructure.

Meanwhile in China, the commitment to carbon neutrality will require massive investment in clean energy, electric vehicles and the whole supply chain to deliver on these promises.

"Thematic investment funds are uniquely exposed to the growth and opportunities brought by the global fight against climate change, so a lot of new investment vehicles have been rolled out with a focus on renewable energy, electric vehicles, climate change solutions and sustainable consumption," says Fan.

Impact investing

With a longer investment horizon, many impact investment opportunities tend to occur in the private equity space and attract a lot of interest among ultra-high-net-worth investment clients, who tend to have a stronger focus on long-term investments, family legacy and wealth transfer.

"While some aspects of the climate crisis represent an imminent threat, the low-carbon transition is really a multi-decade project and requires a longer investment horizon," says Fan. "This is going to become a prominent investment trend."

Many of these opportunities are directing capital towards transformation projects and technological innovations that will positively impact the environment and also contribute to innovative solutions. At the same time as engineering positive impact, these investments are also designed to generate sustainable financial returns.

QUALITY CONTROL

Some of the biggest concerns for investors in the ESG sector surround data quality and disclosure, particularly in Asia, but Fan says the region is rapidly making strides to catch up.

"Regulators in Asia are now setting up policy reviews and enhancing their ESG regulatory frameworks," she says. "We continue to see that the gap in terms of the regulatory requirements between Asian markets and the West are now starting to narrow."

This is important, as more stringent ESG information disclosure requirements will help long-term investors to apply ESG factors in portfolio construction. Without better disclosure, there is a risk that ESG investments can exclude markets and opportunities where capital is most needed, which is why it is encouraging that regulators in emerging markets are embracing the value of much better quality ESG disclosure.

Similarly, there has been some criticism that ESG portfolios tend to favour large companies that can afford to make the costly disclosures, but Fan says that many small cap companies are actually among the most likely to embrace ESG principles, especially in tech and other innovative sectors. As with so many aspects of ESG, the divide is largely generational.

PERFORMANCE

This bias towards health and tech sectors has helped to drive significant returns for sustainable investment solutions during the past year, as these are the principal sectors that have benefited from significant outperformance over the course of the pandemic, especially compared to polluting sectors such as mining, oil and gas, and heavy industries.

While this performance is welcome and has helped to drive further interest in the sector, ESG investing is not a short-term strategy.

"Looking at the medium-term return outlook of sustainable investments we believe that ESG investing will deliver a stronger long-term financial return mainly because of the investment process," says Fan. "ESG factors themselves are actually risk mitigating because you are screening out those companies that are most vulnerable to ESG risks, limiting your portfolio exposure."

However, as governments and businesses increasingly direct investment towards sustainability, it is clear that ESG investing is now a portfolio approach that is capable of delivering returns across the investment horizon.

Client: InvestHK

Optimising family wealth

As it reconnects with the world and introduces tax concessions, Hong Kong is emerging as a leading international centre for family offices.

Hong Kong is set to become the perfect destination for family offices. As the city re-connects with the world after the pandemic, it has proposed a variety of incentives that will create an ideal opportunity for wealthy families to optimise their investment operations.

With an established community of financial services professionals, world-class regulation, liquid markets and preferential access to mainland China, Hong Kong is the premier financial centre in Asia. From equities to fine art and philanthropy, it offers the most complete range of wealth and asset management opportunities.

Proposed changes to its tax regime and a raft of other measures mean there has never been a better time for family offices to establish a presence in this dynamic city.

Proposed tax concession

Hong Kong's government has long recognised the growing importance of family offices within the wealth and asset management industry and is keen to attract more wealthy families to set up and operate investment vehicles in the city.

It aims to attract at least 200 family offices to the city by the end of 2025 through a package of measures, including a proposed tax concession that aims to create tax certainty for family-owned investment holding vehicles managed by single family offices in Hong Kong.

Under the proposal, family offices will be exempt from Hong Kong profits tax on their investment returns.

Requirements to take advantage of the exemption include:

- central management and control of the investment vehicle in Hong Kong;
- at least two employees in Hong Kong;
- at least HK$240 million in assets under management; and
- beneficiaries must belong to the same family.

In addition to the tax exemption, the government is committed to boosting Hong Kong's role as an international asset and wealth management centre through a host of measures aimed at promoting the sector's development.

Global connectivity

Hong Kong has long been a global city. As Covid-related quarantine arrangements and travel restrictions are relaxed, the city is reconnecting with the world and preparing for a strong rebound in growth.

Strategically located at the heart of Asia, it is one of the most convenient destinations for wealthy families with global interests. All the region's major markets are within a four-hour flight and half the world's population can be reached within five hours.

Perched on the Pearl River delta, it is also the gateway to southern China and a bridge between the mainland and international markets. Family offices based in Hong Kong can take advantage of these close ties to access cross-border investment opportunities that are unmatched elsewhere in the region or even the world.

Philanthropy

Hong Kong's wealthy families have a proud history of supporting charitable causes, which has led to the development of a comprehensive infrastructure to support philanthropy and impact investing.

As family offices increasingly embrace philanthropic goals and sustainable investing, Hong Kong is ideally placed to offer the full range of services to support such ambitions. It also has one of the biggest green bond markets in the world.

Support

FamilyOfficeHongKong (FOHK) is a government agency dedicated to helping family offices better understand Hong Kong's landscape and related regulations and initiatives. It also provides professional advice to family office managers or ultra-high-net-worth individuals who are interested in establishing in Asia.

Hong Kong is the ideal destination for family offices and FOHK is here to help.

Client: Vontobel

Vontobel

Financial health

The next generation of wealth in Asia wants holistic advice rather than transactional product pushers. Alex Fung of **Vontobel** *says the Swiss firm is benefiting from the new way of doing things.*

Clients no longer want a transactional relationship with a wealth manager who only calls them when a new product comes on to the market and presses them for a decision. Instead, they want a relationship based on delegation, where the adviser will take the time to understand their requirements and risk appetite, and will work with them on a plan for preserving and growing their wealth. That's exactly what Vontobel, a Swiss investment firm, does.

Alex Fung, Vontobel's chief executive and head of wealth management for Asia Pacific, says his firm is taking advantage of these changes in the market in a number of ways, including diversification, lower costs compared to other wealth managers and private banks in Asia, and its unique three-alpha model, which is based on asset allocation, conviction and thematic investments, and opportunities to take advantage of short-term disturbances in financial markets.

Reluctance to diversify

Traditionally, Asia's original, or first-generation, wealth creators have been happy to invest locally in things they were familiar with. They didn't need external advisers to tell them about deals they could do in the property market, for example. They were confident they knew all about them already.

The transfer of wealth to the next generation, which is well under way, is to people that are much more internationally minded. They travel widely and many were educated overseas in Europe, the US or Australia, and are therefore happy to diversify their portfolio by investing outside their home countries. However, while they may be much more open to investment opportunities abroad, they can't know about each and every one, which is where wealth managers such as Vontobel come in.

"This is also where a major trend has evolved, where clients are much more willing to delegate and to discuss portfolio management and much more willing to pay a fee for it," says Fung.

Platform in Zurich

Vontobel is also different from other wealth managers and private banks in Asia because it doesn't maintain a booking centre in the region and offers only Swiss accounts. Fung says that's a plus for anyone interested in diversification.

"We have real-time client servicing capability in Asia," he says. "It's all connected in real-time to our platform in Zurich. This is one of the attractions for diversification, not only in terms of investment but also domicile of client's capital in an historically safe country and city. By not having a heavy cost platform in Asia, our cost structure is much lighter."

This approach means Fung's team aren't under pressure to call clients to sell them products.

"If you have a much lighter cost, you don't need to encourage transactions," says Fung. You don't call your client in because you have rent to pay. You don't do that in the Vontobel model."

But what Fung really wants Vontobel to be known for is its trusted adviser model. Just as families rely on a doctor or lawyer that has perhaps attended to them for generations, he says they should be able to do the same with their wealth management adviser.

"Health is paramount, but financial health is equally important," he says. "Clients need someone they can trust to advise on investments."

Client: HSBC

Sustaining wealth and legacy

Trusted partnerships are key to shaping multi-generational goals.

Ronald Chao's daughter, Ronna, is the envy of his friends. Unlike many next-generation children of wealthy families, she is a driving force behind the family business, its philanthropic efforts and its finances.

Ronna's business cards include one for her role as chairman of Novetex, the family textile business founded by her grandfather; one as chief executive of the Bai Xian Education Foundation and Bai Xian Asia Institute, the principal vehicles for the family's philanthropy; and one as chief executive of Novel Investment Partners, through which the family manages its wealth.

"My father's friends ask him: 'How do you get your daughter to do all this stuff for you?'," she says.

Part of the reason is a shared experience Ronna and her father both had of studying in Japan, which gave rise to the family's education foundation.

As an overseas student in post-war Japan, Ronald developed a lifelong belief in the value of cross-cultural education as the key to a harmonious world built on mutual understanding, respect and equality. The foundation's Asian Future Leaders Scholarship Program seeks to create a generation of alumni who share these values.

"The basis for the foundation is that when these young people become leaders in their own respective capacities, they will have the understanding and the willingness to learn about others and not be clouded by preconceptions," says Chao, who carries on her father's vision and values to continue growing the foundation.

This type of philanthropy has become more common during the past few years, as Asia's wealthy families move away from charitable giving to an approach that favours more engagement.

Furthermore, Covid-19 has served as a wake-up call and has changed the way many philanthropists in the region address issues, including much more collaboration. This approach is also carrying over into other systemic challenges, such as climate change.

"Modern philanthropists want to roll up their sleeves, get their hands dirty and actually understand the impact they are having," says Cynthia Lee, regional head of wealth planning and advisory for Asia Pacific, Global Private Banking at HSBC. "They are also very willing to look at much longer time horizons in order to build something sustainable."

HSBC is an active partner with such families, helping them to grow their legacy and achieve goals across generations, as well as working with them to preserve, protect and grow their wealth.

Family offices

As many wealthy families in the region seek to manage the transition to younger generations, HSBC Global Private Banking has seen an extraordinary rise in demand for the creation of new single-family offices in Asia.

While some have been around for decades, the bank estimates that 44 per cent of Asia's 1,300 family offices were set up in just the past two years.

Such offices can play an important role in organising the management of family wealth as it passes from first-generation wealth creators. Many more families in the region will face this transition during the next decade.

Worldwide, there are about 7,300 such offices managing US$7.9 trillion of wealth, and that figure is set to grow substantially as the boom in Asian family offices continues.

Generational wealth transfer is not the only reason for formalising wealth into a family office. Lee says that it can also make sense to adopt this kind of platform to be able to work more efficiently with professional and trusted wealth experts.

This was the motivation for the Chao family. By the 1990s, the operational side of the business was self-sufficient in terms of funding and even investing in growth, which meant that cash was accumulating in the bank at a time when deposit rates were not very attractive.

"There was a conscious effort among the shareholders to have a more structured and systematic way of managing our cash," says Ronna. "We started just from an investment angle."

The family started out writing big cheques to private equity funds, but as the operation matured it developed a more diversified portfolio that focused on different strategies, sectors and investment horizons.

Today, the family's portfolios range from plain vanilla to buy-out, and include sectors such as biotech, China, property and artificial intelligence.

"We've grown as we've gone along," says Chao. "We really look at our family office operation as a business now, instead of just trying to find things that would improve our returns."

Family governance

Another driver behind the growing popularity of family offices in Asia is the need for accountability and transparency among family members, particularly as generational transfers mean that wealth is spread among a larger group of stakeholders.

"A family office is a good way for families to have visibility into how decisions are being made," says Lee. "It can be helpful because it puts in place checks and balances, and provides a structure for interacting with the ultimate stakeholders."

Certain governments in the region have also incentivised the creation of family offices to further develop their role as financial centres. Singapore has been ahead of the game in this regard, says Lee, but Hong Kong has also introduced several initiatives recently.

In the 2021-2022 budget, the city's financial secretary undertook to review tax arrangements for family offices and InvestHK set up a dedicated team in June 2021 to promote Hong Kong as a hub for family offices.

These family office-friendly policies, procedures and tax breaks have also helped families to set up secondary, satellite family offices in response to emerging geopolitical issues, the Covid-19 pandemic or even just the dispersion of family members around the world.

"This is a trend we've seen during the past two years," says Lee. "Hong Kong as the core office and a satellite office in Singapore is quite common, but we also see smaller offices in London or New York.

With more than 10,000 ultra-high-net-worth families in the rest of the Greater Bay Area, Hong Kong's potential as a family office hub is clear.

Growth challenges

Meeting that growth potential will be a challenge. With so many family offices being set up in the region, it can be difficult for newcomers to hire experienced personnel. Even for established offices, retaining staff can be an issue.

The pandemic has also brought a rise in cybercrime that has affected businesses worldwide, including family offices, many of which have embraced digitisation to aid communication with family members and ensure transparency.

"As with any business, the more you digitise, the greater the cybersecurity threat becomes," says Lee. "And because they handle very confidential, sensitive information, they need to have the right protections in place."

In such a competitive environment, it is more important than ever to partner with expert wealth advisers. Private bankers such as Lee work with family offices to help them overcome the challenges they can face on their journey, from initial set-up to continuing operational issues, including jurisdiction choice, tax advice and legal structures, as well as acting as a connector that can direct them to external consultants.

For Chao, the key to building a successful family office is to start out with a clear goal. Looking back, she laughs at some of the decisions she and her family made in the early days, but says that the foundations they built on were strong.

"Your goals can evolve, but it's important that you define them from the outset," she says. "Over time you figure out your own strengths, see where the gaps are and then find people to help you fill those gaps."

Sustaining wealth and legacy requires a long-term partnership built on goals and values that are shared within the family, across generations and by trusted advisers who can help to shape and refine this common sense of purpose.

Client: Global Group

Investing in science

Biotech companies are at the cutting edge of medical research and offer big rewards for brave investors.

Whether it's searching for a cure for cancer or a way to end the opium epidemic in the US, investing in biotech companies can be exciting and hugely rewarding — both financially and in terms of funding scientific advances that may ultimately help humanity.

But it is not for the faint-hearted. Investing in the biotech sector is a highly specialised endeavour, as it can take a long time and a lot of money to develop a promising research idea into a treatment that can actually be used on humans, with many hurdles to jump through along the way and no guarantee that the research will lead to a viable treatment.

This can be daunting, but it is a world that Johnny Hon understands well. The chairman and founder of Global Group has a doctorate in psychiatry from Cambridge University, where he specialised in dementia treatments, and has spent most of his career as a venture capitalist.

This combination of science and finance is key to helping him understand the value of the research and advancing it to the point where there is a breakthrough and buyers come knocking at the door.

"If you have a good product that's looking for money, you often have to act very quickly in this market," he says. "That can be difficult for investors who don't have a good understanding of the science. But for us, one of the advantages is that if we like what we see, we can complete a deal within two weeks."

Hon's biotech investments are mostly conducted through a company in the UK, Mann Bioinvest, that he is co-chairman of with Jim Mellon. The pair source research opportunities from their impressive roster of contacts and use the British capital markets to provide funding.

"We have the capital, we are FCA [Financial Conduct Authority] regulated in the UK, we can advise on the listing of the company and we can put the whole structure together," says Hon.

Hon's investments in the UK are focused on cancer treatments, but he is also exploring new areas such as the potential to replace opioids with painkillers based on medical cannabis. With the drug now approved for medical uses in much of the developed world, Hon sees a big opportunity.

There is also cross-over with some of his other investment activities. Blockchain technologies are already gaining traction in the financial sector, but they have the potential to securely store medical records and data as well, so there is an opportunity to act as a bridge between the worlds of biotech and fintech.

"What's exciting about biotech, and what makes it different, is that you're investing in the progress of science," says Hon.

Why corporate buyers are embracing the online revolution

Digital tools are revolutionising middle-market M&A.

Finding large volumes of relevant deals is easier than ever before thanks to a new generation of digital tools. These innovative solutions are making it possible for smaller companies to implement strategies such as programmatic M&A, which were once only available to large players.

The traditional approach to M&A relied on old-fashioned networking and endless "catch-up" meetings to maintain brand awareness and secure a pipeline of potential acquisitions. This approach has always worked much better for large corporations. Smaller corporate buyers either missed out on the best opportunities or had to devote disproportionate resources just to get a foot in the door.

This is changing fast and is even accelerating in the wake of the Covid-19 pandemic. M&A is no longer about who you know — it is about the tools you use. And, more important, those tools are now available to a much wider audience.

Leveraging matching algorithms, cloud services and secure communications, online platforms are introducing new levels of efficiency to the M&A process. That means deals move faster, more smoothly and are less expensive to complete. It also means they fail less often.

Brand pull

Amplifying your M&A brand online provides the best opportunity to bring your ambition, capital and skills to the table. This is one of the main reasons why companies are embracing digital platforms to take their M&A to the next level.

There is an obvious network effect from such platforms that works to the benefit of everyone involved. Connecting with an international community of active dealmakers who are always on the lookout for the next deal maximises the chances of success for corporate M&A teams. It also reduces many of the costs, frictions and pain points that have hampered M&A in the past.

Whether looking to buy or sell an asset, access to a highly engaged network of brokers, investment firms and other corporate M&A teams ensures visibility for your M&A brand.

Companies can also showcase their leadership through such platforms. Dealsuite members can take part in sector meetings that draw on the largest M&A community in Europe, with more than 4,000 engaged M&A professionals.

Market intelligence

Active acquisition strategies are supported by market intelligence that allows M&A teams to spot industry trends, analyse and compare potential targets, and refine opportunities. Armed with clearly defined investment interests and criteria, companies can gain access to a large volume of relevant dealflow.

Teams are notified every time a deal comes to market that matches their criteria. This can include everything from sector and geography to more finely tuned screens that look at earnings, growth and details about the size of stake on offer and type of transaction.

Matching algorithms guarantee that only the most relevant deals are placed in front of corporate buyers. This technology makes it easy to review opportunities and stay abreast of the market with minimal effort.

This is allowing M&A teams to become much more strategic about M&A, even at the SME level. Instead of throwing all their eggs into one basket with large, heroic acquisitions, companies are using these real-time analytic tools to identify smaller opportunities. This means they can acquire assets that are much more targeted, easier to integrate and immediately add value — and they can do so more often.

Agility is key in the modern M&A marketplace and accurate intelligence is essential in providing the confidence to move quickly on opportunities when they arise.

Communication

Of course, finding opportunities is only the first step. Open channels of communication are also vital to converting those potential opportunities into deals. This is where platforms such as Dealsuite.com come into their own, providing proprietary, exclusive contact about potential deals. Corporate M&A teams can enter into direct communication with the right people about relevant deals.

This also works in the opposite direction. Based on a company's listed M&A preferences, sellers and their advisers can reach out to potential acquirers or investors with proposals directly.

A sophisticated M&A strategy will also involve divestitures and the ability to conduct direct market outreach to relevant professionals is a valuable resource. This can significantly reduce the time it takes to close a sale, minimising the cost and disruption of shedding non-core assets.

Execution

Once a deal is underway, getting it across the line efficiently is the priority. The best-in-class data room from Admincontrol by Visma is the industry's most trusted resource for managing transactions. It is available to Dealsuite members, providing a user-friendly and secure platform for due diligence, document review and secure messaging.

"We recommend Admincontrol's data rooms to our clients because it is a highly secure data room," says Kristin Bratengen, director at Oaklins. "Both the administration and monitoring of the data room is simple and it is also very easy to use for first time users."

Closing

One of the founding principles at Dealsuite was to make the M&A process more effective so that buyers and sellers can close more deals. As an active community founded by M&A professionals and advised by a board of industry specialists, the platform is continuously being developed with security at its core.

At Dealsuite, we are your trusted partner for the future.